

Well positioned for future credit cycles

ICICI Bank Bank's numbers were above our estimates on the profitability front mainly due to lower provisions, better margin and strong loan growth. Bank has continued to maintain solid liability franchise with strong growth in CASA deposits on YoY basis, which helps the bank to keep its cost of deposits one of the lowest in the system. NIM stood at 4% in Q4FY22 vs 3.84% YoY and 3.96% QoQ.

- Net interest income came in at Rs 126.05 Bn, 3% QoQ / 20.8% YoY and 2% below our est.
- Other Income came in at Rs 47.37 Bn, -5% QoQ / 15.2% YoY and 6% below our est.
- PPOP came in at Rs 102.93 Bn, 1.4% QoQ / 20.5% YoY and 4% below our est.
- Provisions came in at Rs 10.69 Bn, -46.7% QoQ / -62.9% YoY and 54% below our est.
- PAT came in at Rs 70.19 Bn, 13.3% QoQ / 59.4% YoY and 11% above our est.
- EPS stood at Rs 10.1 vs INR 8.93 / INR 6.37 in Q3FY22 / Q4FY21 respectively

Valuation and outlook

ICICI Bank is navigating well through a challenging macro environment, with a strong focus on target market segments and risk-adjusted returns. We believe that Bank will remain a long-term beneficiary of the consolidation theme playing out in the domestic financial market thanks to its superior liability franchise. We take comfort from its tier-1 capital (18.4%) and contingent provision (Rs 74.5 Bn or ~0.9% of loans), which provide an additional buffer to cushion any adverse effect of sudden spikes in slippages. At CMP, stock trades at 2.8x its FY23E ABV and 2.5x its FY24E ABV. **We assign a 'BUY' rating on ICICI with a price target of Rs 953, valuing the stock at 2.7x FY24E standalone P/ABV and ascribing a value of Rs 141 for subsidiaries.**

Financial Summary

Y/E Mar (Rs Bn)	FY21	FY22	FY23E	FY24E
NII	390	475	562	677
Adjusted net profit	162	233	275	332
Net worth	1475	1705	1925	2190
EPS (Rs)	23	34	40	48
Adj BVPS (Rs)	200	235	266	301
P/E (x)	32	22	19	16
P/Adj BV (x)	3.7	3.2	2.8	2.5
RoA (%)	1.4	1.8	1.8	1.9
RoE (%)	12.3	14.7	15.2	16.1

Source: Dalal & Broacha Research, Company



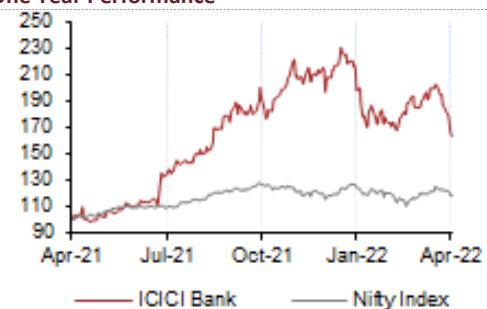
Rating	TP (Rs)	Up/Dn (%)
BUY	953	28

Market data

Current price	Rs	747
Market Cap (Rs.Bn)	(Rs Bn)	5,194
Market Cap (US\$ Mn)	(US\$ Mn)	67,908
Face Value	Rs	2
52 Weeks High/Low	Rs	860 / 547
Average Daily Volume	('000)	15,244
BSE Code		532174
Bloomberg		ICICIB:IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
FII's	44.0	45.3
DII's	44.8	44.0
Other	11.2	10.7
Total	100	100

Source: Bloomberg

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Financial Highlights

- Bank's asset quality improved during the quarter, with GNPA at 3.60% (down by 53 bps QoQ) and NNPA at 0.76% (down by 9 bps QoQ). Slippages stood at Rs 42.04 Bn in Q4 FY22 (Rs 40.18 Bn QoQ). Out of which, the retail rural & business banking portfolio stood at Rs 37.36 Bn and corporate and SME portfolio stood at Rs 4.68 Bn.
- With improving collection efficiency, drop in the overdue portfolio and sturdy contingent provision (Rs 74.5 Bn or ~0.9% of loans), we believe the bank is ready for any potential hiccups on asset quality. We expect credit cost to remain relatively stable in upcoming quarters.
- Excluding NPAs, the total fund based outstanding to all borrowers under resolution as per the various extant regulations/guidelines declined to Rs 82.67 Bn (~1% of total advances) at March 31, 2022 from Rs 96.84 Bn at Dec 31, 2021
- Bank's advances stood at Rs 8590 Bn (17.1% YoY/5.5% QoQ), mainly led by retail segment (19.6% YoY/6.2% QoQ), SME segment (33.6% YoY/ 11.3% QoQ) and corporate segment (8.9% YoY/ 3.4% QoQ). Moreover, overseas book showed recovery (9.8% YoY/ 1.5% QoQ).
- On the liability side, Deposits stood at Rs 10646 Bn (14.2% YoY/4.6% QoQ). Bank reported 20% YoY/7.9% QoQ growth in CASA deposits; taking average CASA ratio to 48.7% in Q4FY22 (vs 47.2% QoQ).
- Bank's capital adequacy ratio stood at 19.16% (vs 17.91% QoQ), of which Tier I capital was 18.35% (vs 16.93% QoQ) and Tier II capital was 0.81% (vs 0.98% QoQ).
- Operational efficiency remained strong, with cost to income ratio stood at 40.6% (-43 bps QoQ/-63 bps YoY), backed by higher net income (NII + other income) growth of 19.3% YoY vs opex growth of 17.4% YoY in Q4FY22.
- The employee expenses were up by 21% YoY, which includes an impact of Rs 0.69 Bn due to the fair valuation of ESOP granted to all employees post April 1, 2021 as required by RBI guidelines. The employee count has increased by 7,000 in the last 12 months to ~ 105,800 employees.
- Non-employee expenses were up by 15.6% YoY, mainly due to retail business & technology related expenses. Technology expenses were ~ 8.5% of operating expenses in FY22.

GNPA at 3.60% (down by 53 bps QoQ) and NNPA at 0.76% (down by 9 bps QoQ)

Slippages stood at Rs 42.04 Bn in Q4 FY22 (Rs 40.18 Bn QoQ)

Bank maintained a strong PCR ratio of 79.4% and total contingent provision of Rs 74.50 Bn (~0.9% of loans).

Bank's advances stood at Rs 8590 Bn (17.1% YoY/5.5% QoQ), mainly led by retail segment (19.6% YoY/6.2% QoQ), SME segment (33.6% YoY/ 11.3% QoQ) and corporate segment (8.9% YoY/ 3.4% QoQ)

Operational efficiency remained strong, with cost to income ratio stood at 40.6% (-43 bps QoQ/-63 bps YoY)

Non-employee expenses were up by 15.6% YoY, mainly due to retail business & technology related expenses

Highlights of the Conference Call

Asset Quality

- Bank's slippages stood at Rs 42.04 Bn vs Rs 40.18 Bn QoQ; of which, the retail rural & business banking portfolio stood at Rs 37.36 Bn and corporate and SME portfolio stood at Rs 4.68 Bn. Recoveries & upgrades (excluding write-offs & sales) stood at Rs 46.93 Bn vs Rs 42.09 Bn QoQ.
- The non-fund based outstanding to borrowers classified as NPAs stood at Rs 36.4 Bn vs Rs 36.38 Bn QoQ. The Bank holds provisions amounting to Rs 20.51 Bn against these NPAs.
- At March 31, the total provision other than specific provisions on fund based outstanding to borrowers classified as NPAs, Rs 179.18 Bn (2.1% of total loans).
- The loan & non-fund based outstanding to performing corporate & SME borrowers rated BB & below stood at Rs 108.08 Bn (including Rs 23.89 Bn restructured loans) vs Rs 118.42 Bn QoQ.
- Other than two accounts, one each in the power and telecom sectors. The maximum single borrower outstanding in the BB & below portfolio was less than Rs 6 Bn at March 31, 2022. Bank held provisions of Rs 12.32 Bn on the BB & below portfolio vs Rs 15.75 Bn QoQ.

Restructured book

- Total fund based outstanding to all standard borrowers under resolution as per various guidelines declined to Rs 82.67 Bn (~ 1% of the total loan portfolio) vs Rs 96.84 Bn QoQ. The sequential decline was mainly due to pre-payment by a borrower in the construction sector.
- Out of the total fund based outstanding under the resolution, Rs 60.43 Bn was from the retail, rural & business banking portfolio, while Rs 22.24 Bn was from the corporate & SME portfolio. Bank holds provisions of Rs 25.30 Bn against these borrowers, which is higher than the requirement as per RBI guidelines.

Builder Portfolio

- The builder portfolio includes construction finance lease rental discounting term loans and working capital loans stood at Rs 269.48 Bn at March 31, 2022 vs Rs 257.53 Bn QoQ.
- The builder portfolio, which is ~3% of total loan portfolio, is granular in nature with the larger exposures being too well-established builders and this is also reflected in the sequential increase in the portfolio.
- ~ 9.5% of builder portfolio at March 31 was either rated BB & below internally or was classified as NPAs, vs 11% QoQ.

Credit Cards

- The value of credit cards spent grew by 77% YoY in Q4, driven by a higher activation rate through digital onboarding of customers including Amazon Pay credit cards, automated and effective portfolio management to grow spent amongst existing card customers and diversification through commercial cards. Bank issued over 3 Mn Amazon Pay credit cards since its launch.
- Bank has recently tied up with Emirates Skywards. The award-winning loyalty program of Emirates and FlyDubai to launch a range of co-branded credit card that enable customers to earn reward points on travel, lifestyle and everyday spending.

Overseas Portfolio

- Bank's direct exposure to Russia and Ukraine is negligible. Bank has exposure to an Indian Oil refinery rated AA minus externally where sanctioned Russian entity owns 49% stake, the exposure is largely non-funded nature.
- The overseas loan portfolio in U.S. dollar terms grew by 5.9% YoY/ flat QoQ, which was primarily due to an increase in India linked trade finance book.
- The non-India linked corporate portfolio was reduced by 48.2% YoY and 6.8% QoQ. Out of the overseas portfolio, ~82% is Indian corporates, 10% is overseas corporate with Indian linkage, 4% comprises companies owned by NRI or PIO and the balance 4% is non-India corporates.

P&L related highlights

- The employee expenses were up by 21% YoY, which includes an impact of Rs 0.69 Bn due to the fair valuation of ESOP granted to all employees post April 1, 2021 as required by RBI guidelines. The employee count has increased by 7,000 in the last 12 months to ~ 105,800 employees.
- Non-employee expenses were up by 15.6% YoY, mainly due to retail business & technology related expenses. The technology expenses were ~ 8.5% of total operating expenses in FY22.

Yield, cost of funds and NIMs

- Bank's cost of deposits continues to be among the lowest in the system. The cost of deposits stood at 3.48% in Q4FY22 vs 3.47% QoQ.
- NIM stood at 4% vs to 3.96% QoQ and 3.8% YoY. The impact of interest on income tax refund on NIM was 1 bps in Q4FY22 vs 6 bps QoQ and 1 bps YoY.
- Out of the total domestic loans, 41% of loans are linked to the repo rate, while 7% are to other external benchmarks.

Business philosophy

- Bank aims to steadily grow its business within a strategic framework and strengthen its franchise delivery and servicing capabilities, backed by a range of digital initiatives.
- Bank will continue to focus on its objective of catering to all the banking and financial needs of the customers with a focus on risk and reward, which means growth in core operating profit in a risk-calibrated manner through the continuous pursuit of target market segments.
- Bank's ecosystem-based approach and creation of multi-functional teams have helped in nurturing relationships and offering the entire bouquet of services of the bank to customers.

Other highlights

- The Bank's SME (33.6% YoY/11.3% QoQ) and business banking (43.2% YoY/10.2% QoQ) portfolios has been driven by digital offerings and platforms like InstaBIZ and Merchant STACK.
- The liquidity coverage ratio for the quarter was about 130%, reflecting continued surplus liquidity.

Quarterly Financials

Financials (Rs Bn)	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	YoY	QoQ
Interest Earned	198.4	203.8	212.3	220.8	226.7	14.3%	2.7%
Interest Expended	94.1	94.5	95.4	98.5	100.7	7.0%	2.3%
NII	104.3	109.4	116.9	122.4	126.0	20.8%	3.0%
Other Income	41.1	40.0	48.0	49.9	47.4	15.2%	-5.0%
Net Income	145.4	149.3	164.9	172.2	173.4	19.3%	0.7%
Opex	60.0	60.4	65.7	70.7	70.5	17.4%	-0.4%
PPOP	85.4	88.9	99.1	101.5	102.9	20.5%	1.4%
Provisions	28.8	28.5	27.1	20.1	10.7	-62.9%	-46.7%
PBT	56.6	60.4	72.0	81.4	92.2	63.1%	13.3%
Tax	12.5	14.3	16.9	19.5	22.1	75.9%	13.3%
PAT	44.0	46.2	55.1	61.9	70.2	59.4%	13.3%
Balance Sheet							
Net-worth	1475	1524	1568	1631	1705	15.6%	4.6%
Deposits	9325	9262	9774	10175	10646	14.2%	4.6%
Advances	7337	7386	7649	8140	8590	17.1%	5.5%
Growth (%)							
Deposits	21.0	15.5	17.3	16.4	14.2	-679 bps	-221 bps
Advances	13.7	17.0	17.2	16.4	17.1	337 bps	63 bps
Ratios (%)							
GNPA	5.0	5.2	4.8	4.1	3.6	-136 bps	-53 bps
NNPA	1.1	1.2	1.0	0.9	0.8	-38 bps	-9 bps
PCR	77.7	78.3	80.2	80.1	79.4	167 bps	-70 bps
CET1	16.8	16.4	16.1	15.8	17.6	80 bps	183 bps
CAR	19.1	18.7	18.3	17.9	19.2	4 bps	125 bps
Cost/Income	41.3	40.4	39.9	41.1	40.6	-63 bps	-43 bps
CD Ratio	78.7	79.7	78.3	80.0	80.7	201 bps	69 bps
Loan Mix (%)							
Domestic book	94.9	94.6	94.9	95.0	95.2	32 bps	19 bps
Retail	66.7	67.0	68.3	67.7	68.1	141 bps	41 bps
SME	4.1	4.0	4.3	4.5	4.7	58 bps	24 bps
Corporate	24.1	23.5	22.3	22.9	22.4	-168 bps	-46 bps
Overseas book	5.1	5.4	5.1	5.0	4.8	-32 bps	-19 bps

Source: Company, D&B Research

Financials

P&L (Rs Bn)	FY21	FY22	FY23E	FY24E
Interest income	791	864	1043	1264
Interest expense	401	389	481	587
NII	390	475	562	677
Non-interest income	190	185	224	267
Net revenues	580	660	786	944
Operating expenses	216	267	312	363
PPOP	364	393	474	581
Provisions	162	86	107	138
PBT	202	306	368	443
Tax	40	73	93	112
PAT	162	233	275	332

Balance sheet	FY21	FY22	FY23E	FY24E
Share capital	14	14	14	14
Reserves & surplus	1461	1691	1911	2177
Net worth	1475	1705	1925	2190
Deposits	9325	10646	12485	14689
Borrowings	916	1072	1038	1114
Other liability	588	690	704	718
Total liabilities	12304	14113	16151	18711
Fixed assets	89	94	98	101
Investments	2813	3102	3566	4153
Loans	7337	8590	10161	12099
Cash	1331	1678	1665	1684
Other assets	734	648	661	675
Total assets	12304	14113	16151	18711

Ratios	FY21	FY22	FY23E	FY24E
Growth (%)				
NII	17.2	21.7	18.5	20.4
PPOP	29.5	7.8	20.8	22.5
PAT	104	44.1	17.8	20.5
Advances	13.7	17.1	18.3	19.1
Deposits	21.0	14.2	17.3	17.7
Spread (%)				
Yield on Funds	7.3	7.0	7.3	7.6
Cost of Funds	4.1	3.5	3.8	4.0
Spread	3.2	3.4	3.4	3.6
NIM	3.6	3.8	3.9	4.1
Asset quality (%)				
Gross NPAs	5.4	3.8	3.3	3.1
Net NPAs	1.3	0.8	0.8	0.8
Provisions	78	79	78	73
Return ratios (%)				
RoE	12.3	14.7	15.2	16.1
RoA	1.4	1.8	1.8	1.9
Per share (Rs)				
EPS	23	34	40	48
BV	213	245	277	315
ABV	200	235	266	301
Valuation (x)				
P/E	31.9	22.3	18.9	15.7
P/BV	3.5	3.0	2.7	2.4
P/ABV	3.7	3.2	2.8	2.5

Source: Dalal & Broacha Research, Company

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